

US Department of Agriculture (USDA)



Performance Work Statement

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Project Title

Rural Development Guaranteed Loan Programs – Lender Review Support Services

General Information

1.0 Background and Purpose

USDA Rural Development (RD) administers guaranteed loan programs through approved lenders to support rural housing and business development.

RD requires consistent processes to evaluate lender compliance, identify risk, and improve program oversight.

The purpose of this requirement is to obtain contractor support to:

- Develop standardized lender review guides.
- Conduct lender compliance reviews.
- Identify risks and trends.
- Provide actionable recommendations.

USDA Rural Development (RD) operates multiple Guaranteed Loan programs to assist approved lenders in providing affordable financing in rural areas. The RD Finance Office (FO) Office of Compliance (OC) is looking for contractor support to develop lender compliance review guides and to pilot the guides by conducting reviews of lenders participating in RD Guaranteed Loan Programs focusing on sound lending procedures and compliance with RD rules and regulations.

RD guaranteed loan programs assist approved lenders in providing affordable financing options in rural areas. Lenders must meet specific requirements for each program to be eligible to participate. 90% or more of the loan is guaranteed by USDA. Lender reviews will provide confidence that participating lenders are operating appropriately and inform RD decisions regarding new or more effective policies and requirements for approved lenders.

Program specific information can be found at <https://www.rd.usda.gov/programs-services>.

RBCS Lender information: <https://www.rd.usda.gov/onerdguarantee>

SFH Lender information: <https://www.rd.usda.gov/resources/usda-linc-training-resource-library>

MFH Lender information: <https://www.rd.usda.gov/programs-services/multifamily-housing-programs/multifamily-housing-loan-guarantees>

Over the past decade, RD's exposure to delinquent guaranteed loans has been increasing. RD does not currently have an established process to review lenders participating in the RD Guaranteed Lending programs. In 2024, the Special Assets Unit (SAU) conducted a comprehensive review on two participating lending institutions that had significant delinquencies in the Rural Business Cooperative Services (RBCS). Recently in 2026, the SAU teamed up with the External Compliance Division (ECD) along with RBCS to conduct lender reviews on 11 individual lenders who have significant delinquencies in their guaranteed lending portfolio. This project is expected to be completed in May 2026. The results and guides used during this project will be provided to the contractor.

The purpose of this initiative is to establish sound review steps for RD's External Compliance Division (ECD) staff accountants to use in performing these reviews internally going forward. In addition, RD plans to leverage the reviews performed by this contractor to identify high risk areas (common findings) and provide general recommendations on controls that can be implemented to prevent future issues.

The contract will be split into an initial term dedicated to working on the RBCS Guaranteed Loan program and then two optional terms dedicated to the Single-Family Housing (SFH) and Multi-Family Housing (MFH) Guaranteed Loan programs.

2.0 Definitions

RD – Rural Development

FO – Finance Office

OC – Office of Compliance

ECD – External Compliance Division

RBCS – Rural Business-Cooperative Service

RHS – Rural Housing Service

RUS – Rural Utilities Service

SFH – Single Family Housing

MFH – Multi-Family Housing

Contractor Requirements

3.0 Technical Requirements / Tasks

The contractor shall provide all personnel and expertise necessary to perform the requirements.

3.1 Review Guide Development

The contractor shall develop Review Guides for evaluating lenders participating in the RBCS, SFH, and MFH guaranteed loan programs.

Each guide shall

- be based upon applicable regulatory requirements.
- Provide a method to identify and rate risk.
- Include a standard reporting format with at least the following:
 - Review objectives
 - Review Steps
 - Results of Reviews
 - Conclusion/recommendations
- Each lender review shall include a minimum of five (5) loan files.
- Evaluate at least the following areas:
 - Loan origination
 - Underwriting
 - Servicing
 - Compliance with program requirements
 - Adherence to industry best practices
 - Compliance with lender policies

3.2 Lender Reviews

The contractor shall conduct lender reviews using approved Review Guides

- The Government anticipates at least five (5) lenders per program.

3.3 Reporting Requirements

The contractor shall provide a report for each lender reviewed.

Each report shall include:

- Scope of review

- Key findings
- Identified risks
- Recommended corrective actions

The contractor shall also provide a program level summary identifying trends and program wide recommendations for improvements.

3.4 Continuous Improvement

The contractor shall update Review Guides based on findings and Government feedback.

3.5 Project Plan

The contractor must maintain the Project Plan to include a detailed description of roles and responsibilities for all contractor and key personnel involved; a task-based schedule that identifies major activities, dependencies, and anticipated timelines; a milestone framework that outlines specific deliverables, review cycles, and acceptance points; and a comprehensive risk management component that identifies potential risks, assesses likelihood and impact, and describes mitigation strategies.

4.0 Deliverable / Schedule

Key Deliverables

Item No.	Deliverable	Objective	Due
1	Finalized Project Plan	Defining the responsibilities, timeline, risks and milestones of contract objectives.	No later than five (5) business days after contract kickoff
2	Recurring Status Report	Recurring report documenting activities and accomplishments for the agreed upon period.	Frequency to be agreed to by contractor and CO/COR
3	Review Guide for RBCS Guaranteed Lender Program	Comprehensive detailed guide for RD to use on performing lending reviews for RBCS going forward.	At the end of initial term or 8 months from contract start date.
4	Lender Review Reports (5 individual reports)	Comprehensive report detailing the objectives, results, findings, and conclusions of each lender review.	At the completion of each RBCS lender review. (Approx. 1 per month in middle of term)
5	RBCS Guaranteed Lending Program Feedback report	To provide feedback to RD on common findings and potential solutions or compensating controls that could be incorporated.	At the end of the initial term.
(Option 1) 6	Review Guide for SFH Guaranteed Lender Program	Comprehensive detailed guide for RD to use on performing lending reviews for SFH going forward.	At the end of 2 nd Option term.
(Option 1) 7	Lender Review Reports (5 individual reports)	Comprehensive report detailing the objectives, results, findings, and conclusions of each lender review.	At the completion of each SFH lender review. (Approx. 1 per month in middle of term)
(Option 1) 8	SFH Guaranteed Lending Program Feedback report	To provide feedback to RD on common findings and potential solutions or compensating controls that could be incorporated.	At the end of the 2 nd option term.
(Option 2) 9	Review Guide for MFH Guaranteed Lender Program	Comprehensive detailed guide for RD to use on performing lending reviews for MFH going forward.	At the end of 3 rd Option term.
(Option 2) 10	Lender Review Reports (5 individual reports)	Comprehensive report detailing the objectives, results, findings, and conclusions of each lender review.	At the completion of each MFH lender review. (Approx. 1 per month in middle of term)

(Option 2) 11	MFH Guaranteed Lending Program Feedback report	To provide feedback to RD on common findings and potential solutions or compensating controls that could be incorporated.	At the end of the 3 rd option term.
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5.0 Government Furnished

The Government will provide:

- Lender list and contact information
- Initial contact with Lender to authorize the review
- Applicable guidance

The Government will provide:

- Lender list and contact information
- Initial contact with Lender to authorize the review
- Applicable guidance
- A USDA laptop, account and credentials for all contractor staff working with sensitive and PII data.

6.0 Travel

No Travel.

7.0 Contractor's Key Personnel

The contractor shall provide personnel with extensive accounting, forensic, banking, and/or auditing experience. With a minimum of a Bachelor's degree in accounting. The contractor should identify key personnel and their involvement. ~~Where appropriate a short CV (a maximum of 2 pages) should be provided.~~

8.0 Security Requirements

The contractor shall safeguard sensitive information. There will be sensitive and PII information in some of the files. The contractor will ensure all data is stored and transferred securely. The contractor will use a Government furnished laptop to evaluate and store all sensitive and PII data. All contractor employees working with PII and sensitive data must obtain USDA credentials, account and laptop.

9.0 Data Rights

All deliverables shall be property of the Government and USDA-RD.

10.0 Section 508 - Electronic and Information Technology Standards

All electronic deliverables shall comply with Section 508 requirements. Self-certification by the contractor will suffice.

11.0 Performance Requirement Measures

Performance Objective	PWS Reference	Performance Standard	Acceptable Quality Level
Timely submission of Reports/Deliverables.	4.0	Reports are delivered by the required due date and meet content/quality standards.	100% of deliverables submitted on or before due dates.
Contractor develops complete, regulatory-based Review Guides.	3.1	Guides meet all regulatory and PWS requirements	100% in accordance with the PWS.
Contractor updates Review Guides based on findings, trend analysis, and Government feedback to strengthen oversight.	3.4	Updates are timely, accurate, and address identified issues	95% must be completed within 2 business days of identification.

1. Kickoff Meeting

At the Government's request, the Contractor shall participate in the kickoff meeting when the contract is established. This meeting will be virtual to allow all stakeholders to attend.

The contractor shall provide and collaborate with the COR on an agenda for this meeting. Discussion topics shall include, but not be limited to introduction of government and contractor and staff, government expectations, discussion of contract requirements, contract management expectations, schedule of deliverables and addressing contractor questions.

The Kick-Off meeting will take place within five (5) days from award and will be scheduled by the COR.

2. HSPD-12 Credentials

Contractor personnel must complete necessary requirements to obtain HSPD-12 credentials immediately upon beginning work on the contract. Failure to obtain HSPD-12 credentials is grounds for removal/suspension of contractor personnel from the contract.

<https://www.dhs.gov/homeland-security-presidential-directive-12>

3. Contractor Personnel Security Requirements

• Information Technology Systems Requirements:

The Contractor shall establish and implement appropriate administrative, technical, and physical safeguards to ensure the security and confidentiality of sensitive Government information, data, and/or equipment.

The Contractor shall comply with IT systems security and/or privacy specifications set forth in Rural Development and USDA directives, policy, and procedures; the Computer Security Act of 1987; OMB Circular A-130; and the Federal Information Security Management Act of 2014 (FISMA), NIST SP 800-53 Rev. 5: Security and Privacy Controls for Information Systems and Organizations, NIST SP 800-171 Rev. 3: Protecting Controlled Unclassified Information in Nonfederal Systems and Organizations

Pursuant to USDA policy, the Contractor shall be responsible for assuring that each Contractor employee who requires routine unaccompanied physical access to a Federally controlled facility and/or unaccompanied access to a Federally controlled information system, including a Rural Development-issued computer, completes Information Security Awareness Training (ISAT) prior to performing any work under this contract.

The Contractor is required to maintain a listing of all individuals who have completed Information Security Awareness training and submit this listing to the COR with a copy to the Contracting Officer within ten calendar days of an individual starting work on this contract.

- **Access Requirements**

Contractor Access to USDA's Network/Systems. The Contractor shall require access to the USDA's Network/Systems to perform work under the contract. The COR will oversee such access.

- **Information Assurance**

The Contractor shall protect and not disclose any PII. The term "PII," as defined in OMB Memorandum M-07-1616 refers to information that can be used to distinguish or trace an individual's identity, either alone or when combined with other personal or identifying information that is linked or linkable to a specific individual. The definition of PII is not anchored to any single category of information or technology. Rather, it requires a case-by-case assessment of the specific risk that an individual can be identified. In performing this assessment, it is important for an agency to recognize that non-PII can become PII whenever additional information is made publicly available - in any medium and from any source that, when combined with other available information, could be used to identify an individual.

4. Onboarding Process

At the call order level, the Contractor shall manage the onboarding of its staff for all Contractor personnel who have not yet been onboarded at USDA. Federal employees, contractors, subcontractors, experts, consultants, and paid/unpaid interns hired for work within the United States or its territories who require access to USDA Mission Areas, Agencies and Staff Offices or controlled facilities, Information Technology (IT) systems or security items or products, must be either U.S. citizens or Lawful Permanent Residents, also known as "green card" holders. Onboarding includes steps to obtain a USDA network and email account, complete training, initiate background investigations, and gain physical and logical access, which may include elevated privileges to the necessary development and test environments for the various systems to be enhanced.

A single Contractor Onboarding point of contact (POC) shall be designated by the Contractor that tracks the onboarding status of all Contractor personnel. The Contractor Onboarding POC shall be responsible for accurate and timely submission of all required USDA onboarding paperwork to the COR. The Contractor shall be responsible for tracking the status of all its staff's onboarding activities and report the status at the staff level during onboarding status meetings. The Contractor shall provide, to the COR, an Onboarding Status Report for any staff with outstanding onboarding requests. Additional information regarding the Onboarding process will be provided by the COR.

Contractor's Experience and Personnel

a. Contractor must inform the COR and/or CO when Contractor personnel are removed from the contract tasks/duties for any reason.

b. If a key person becomes unavailable to complete the work, proposed Substitutions of key personnel shall be made only if approved by the COR and/or CO.

c. Contractor shall submit a resume of qualifications to the COR and/or CO for all direct employees proposed for the project. All Contractor employees will be approved by the COR prior to bringing on duty. Any staff completing loan file review must have a bachelor's degree (or higher) in accounting.

d. Contractor is expected to provide a fully trained workforce to the Government; therefore, personal development training costs and hours are not billable to the Government.

e. General Certifications, license(s)

b. Qualifications of Key Personnel

- **Certified Public Accountant**

- a. Bachelor's degree (or higher) in Accounting.

- b. at least five years of Attestation experience.

Invoicing and Payment

The Contractor shall submit the original of the invoice to the COR as well as submit via the Invoice Processing Platform (IPP) at www.ipp.gov. To constitute a proper invoice, the invoice must include the following information and/or attached documentation:

- Name and Remittance address of Contractor
- Vendor Identification Number
- Invoice Date
- Contract Number
- Amount to be paid by CLIN
- Total amount to be paid
- Cumulative amount billed to date
- The Contractor shall submit any other information or documentation required by other provisions of the Contract such as receiving/acceptance reports, etc.,